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Title 12 —Banks and Banking

Chapter X —Consumer Financial Protection Bureau

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PART 1016—PRIVACY OF CONSUMER FINANCIAL INFORMATION (REGULATION P)

Authority: 12 U.S.C. 5512, 5581; 15 U.S.C. 6804.

Source: 76 FR 79028, Dec. 21, 2011, unless otherwise noted.

§ 1016.1 Purpose and scope.

- (a) **Purpose.** This part governs the treatment of nonpublic personal information about consumers by the financial institutions listed in paragraph (b) of this section. This part:
- (1) Requires a financial institution to provide notice to customers about its privacy policies and practices;
 - (2) Describes the conditions under which a financial institution may disclose nonpublic personal information about consumers to nonaffiliated third parties; and
 - (3) Provides a method for consumers to prevent a financial institution from disclosing that information to most nonaffiliated third parties by “opting out” of that disclosure, subject to the exceptions in §§ 1016.13, 1016.14, and 1016.15.
- (b) **Scope.**
- (1) This part applies only to nonpublic personal information about individuals who obtain financial products or services primarily for personal, family, or household purposes from the institutions listed below. This part does not apply to information about companies or about individuals who obtain financial products or services for business, commercial, or agricultural purposes. This part applies to those financial institutions and other persons for which the Bureau of Consumer Financial Protection (Bureau) has rulemaking authority pursuant to section 504(a)(1)(A) of the Gramm-Leach-Bliley Act (GLB Act) (15 U.S.C. 6804(a)(1)(A)). Specifically, this part applies to any financial institution and other covered person or service provider that is subject to Subtitle A of Title V of the GLB Act, including third parties that are not financial institutions but that receive nonpublic personal information from financial institutions with whom they are not affiliated. This part does not apply to certain motor vehicle dealers described in 12 U.S.C. 5519 or to entities for which the Securities and Exchange Commission or the Commodity Futures Trading Commission has rulemaking authority pursuant to sections 504(a)(1)(A)-(B) of the GLB Act (15 U.S.C. 6804(a)(1)(A)-(B)). Except as otherwise specifically provided herein, entities to which this part applies are referred to in this part as “you.”
 - (2)
 - (i) Nothing in this part modifies, limits, or supersedes the standards governing individually identifiable health information promulgated by the Secretary of Health and Human Services under the authority of sections 262 and 264 of the Health Insurance Portability and Accountability Act of 1996 (42 U.S.C. 1320d-1320d-8).
 - (ii) Any institution of higher education that complies with the Federal Educational Rights and Privacy Act (FERPA), 20 U.S.C. 1232g, and its implementing regulations, 34 CFR part 99, and that is also a financial institution described in § 1016.3(l)(3) of this part, shall be deemed to be in compliance with this part if it is in compliance with FERPA.
 - (3) Nothing in this part shall apply to:
 - (i) A financial institution that is a person described in section 1029(a) of the Consumer Financial Protection Act of 2010, title X of the Dodd-Frank Wall Street Reform and Consumer Protection Act (Dodd-Frank Act), Public Law 111-203, 124 Stat. 1376 (12 U.S.C. 5519(a));
 - (ii) A financial institution or other person subject to the jurisdiction on the Commodity Futures Trading Commission under 7 U.S.C. 7b-2;

- (iii) A broker or dealer that is registered under the Securities Exchange Act of 1934 (15 U.S.C. 78a et seq.);
- (iv) A registered investment adviser, properly registered by or on behalf of either the Securities Exchange Commission or any state, with respect to its investment advisory activities and its activities incidental to those investment advisory activities;
- (v) An investment company that is registered under the Investment Company Act of 1940 (15 U.S.C. 80a-1 et seq.) or
- (vi) An insurance company, with respect to its insurance activities and its activities incidental to those insurance activities, that is subject to supervision by a state insurance regulator.

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§ 1016.2 Model privacy form and examples.

- (a) **Model privacy form.** Use of the model privacy form in the appendix to this part, consistent with the instructions in the appendix constitutes compliance with the notice content requirements of §§ 1016.6 and 1016.7 of this part, although use of the model privacy form is not required.
- (b) **Examples.** The examples in this part are not exclusive. Compliance with an example, to the extent applicable, constitutes compliance with this part.

§ 1016.3 Definitions.

As used in this part, unless the context requires otherwise:

- (a)
 - (1) **Affiliate** means any company that controls, is controlled by, or is under common control with another company.
 - (2) **Examples in the case of a credit union.**
 - (i) An affiliate of a Federal credit union is a credit union service organization (CUSO), as provided in 12 CFR part 712, that is controlled by the Federal credit union.
 - (ii) An affiliate of a federally-insured, state-chartered credit union is a company that is controlled by the credit union.
- (b)
 - (1) **Clear and conspicuous** means that a notice is reasonably understandable and designed to call attention to the nature and significance of the information in the notice.
 - (2) **Examples —**
 - (i) **Reasonably understandable.** You make your notice reasonably understandable if you:
 - (A) Present the information in the notice in clear, concise sentences, paragraphs, and sections;
 - (B) Use short explanatory sentences or bullet lists whenever possible;
 - (C) Use definite, concrete, everyday words and active voice whenever possible;

- (D) Avoid multiple negatives;
 - (E) Avoid legal and highly technical business terminology whenever possible; and
 - (F) Avoid explanations that are imprecise and readily subject to different interpretations.
- (ii) ***Designed to call attention.*** You design your notice to call attention to the nature and significance of the information in it if you:
 - (A) Use a plain-language heading to call attention to the notice;
 - (B) Use a typeface and type size that are easy to read;
 - (C) Provide wide margins and ample line spacing;
 - (D) Use boldface or italics for key words; and
 - (E) In a form that combines your notice with other information, use distinctive type size, style, and graphic devices, such as shading or sidebars, when you combine your notice with other information.
- (iii) ***Notices on Web sites.*** If you provide a notice on a Web site, you design your notice to call attention to the nature and significance of the information in it if you use text or visual cues to encourage scrolling down the page if necessary to view the entire notice and ensure that other elements on the Web site (such as text, graphics, hyperlinks, or sound) do not distract attention from the notice, and you either:
 - (A) Place the notice on a screen that consumers frequently access, such as a page on which transactions are conducted; or
 - (B) Place a link on a screen that consumers frequently access, such as a page on which transactions are conducted, that connects directly to the notice and is labeled appropriately to convey the importance, nature, and relevance of the notice.
- (c) ***Collect*** means to obtain information that you organize or can retrieve by the name of an individual or by identifying number, symbol, or other identifying particular assigned to the individual, irrespective of the source of the underlying information.
- (d) ***Company*** means any corporation, limited liability company, business trust, general or limited partnership, association, or similar organization.
- (e)
 - (1) ***Consumer*** means an individual who obtains or has obtained a financial product or service from you that is to be used primarily for personal, family, or household purposes, or that individual's legal representative.
 - (2) ***Examples in the case of a financial institution other than a credit union.*** For purposes of this paragraph (e)(2), "you" is limited to financial institutions other than credit unions.
 - (i) An individual who applies to you for credit for personal, family, or household purposes is a consumer of a financial service, regardless of whether the credit is extended.

- (ii) An individual who provides nonpublic personal information to you in order to obtain a determination about whether he or she may qualify for a loan to be used primarily for personal, family, or household purposes is a consumer of a financial service, regardless of whether the loan is extended.
 - (iii) An individual who provides nonpublic personal information to you in connection with obtaining or seeking to obtain financial, investment, or economic advisory services is a consumer regardless of whether you establish a continuing advisory relationship.
 - (iv) If you hold ownership or servicing rights to an individual's loan that is used primarily for personal, family, or household purposes, the individual is your consumer, even if you hold those rights in conjunction with one or more other institutions. (The individual is also a consumer with respect to the other financial institutions involved.) An individual who has a loan in which you have ownership or servicing rights is your consumer, even if you, or another institution with those rights, hire an agent to collect on the loan.
 - (v) An individual who is a consumer of another financial institution is not your consumer solely because you act as agent for, or provide processing or other services to, that financial institution.
 - (vi) An individual is not your consumer solely because he or she has designated you as trustee for a trust.
 - (vii) An individual is not your consumer solely because he or she is a beneficiary of a trust for which you are a trustee.
 - (viii) An individual is not your consumer solely because he or she is a participant or a beneficiary of an employee benefit plan that you sponsor or for which you act as a trustee or fiduciary.
- (3) **Examples in the case of a credit union.** For purposes of this paragraph (e)(3), "you" is limited to credit unions.
- (i) An individual who provides nonpublic personal information to you in connection with obtaining or seeking to obtain credit union membership is your consumer regardless of whether you establish a customer relationship.
 - (ii) An individual who provides nonpublic personal information to you in connection with using your ATM is your consumer.
 - (iii) If you hold ownership or servicing rights to an individual's loan, the individual is your consumer, even if you hold those rights in conjunction with one or more financial institutions. The individual is also a consumer with respect to the other financial institutions involved. This applies even if you, or another financial institution with those rights, hire an agent to collect on the loan or to provide processing or other services.
 - (iv) An individual who is a consumer of another financial institution is not your consumer solely because you act as agent for, or provide processing or other services to, that financial institution.
 - (v) An individual is not your consumer solely because he or she is a participant or a beneficiary of an employee benefit plan that you sponsor or for which you act as a trustee or fiduciary.
- (f) **Consumer reporting agency** has the same meaning as in section 603(f) of the Fair Credit Reporting Act (15 U.S.C. 1681a(f)).

(g) **Control** of a company means:

- (1) Ownership, control, or power to vote 25 percent or more of the outstanding shares of any class of voting security of the company, directly or indirectly, or acting through one or more other persons;
- (2) Control in any manner over the election of a majority of the directors, trustees, or general partners (or individuals exercising similar functions) of the company; or
- (3) The power to exercise, directly or indirectly, a controlling influence over the management or policies of the company as determined by the applicable prudential regulator (as defined in 12 U.S.C. 5481(24)), if any.
- (4) **Example in the case of credit unions.** A credit union is presumed to have a controlling influence over the management or policies of a CUSO, if the CUSO is 67% owned by credit unions.

(h) **Credit union** means a Federal or state-chartered credit union that the National Credit Union Share Insurance Fund insures.

(i) **Customer** means a consumer who has a customer relationship with you.

(j)

(1) **Customer relationship** means a continuing relationship between a consumer and you under which you provide one or more financial products or services to the consumer that are to be used primarily for personal, family, or household purposes. As noted in the examples, and for purposes of this part only, in the case of a credit union, a customer relationship will exist between a credit union and certain consumers that are not the credit union's members.

(2) **Examples in the case of financial institutions other than credit unions and covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (j)(2), "you" is limited to financial institutions other than credit unions and financial institutions described in paragraph (l)(3) of this section.

(i) **Continuing relationship.** A consumer has a continuing relationship with you if the consumer:

- (A) Has a deposit or investment account with you;
- (B) Obtains a loan from you;
- (C) Has a loan for which you own the servicing rights;
- (D) Purchases an insurance product from you;
- (E) Holds an investment product through you, such as when you act as a custodian for securities or for assets in an Individual Retirement Arrangement;
- (F) Enters into an agreement or understanding with you whereby you undertake to arrange or broker a home mortgage loan for the consumer;
- (G) Enters into a lease of personal property with you; or
- (H) Obtains financial, investment, or economic advisory services from you for a fee.

(ii) **No continuing relationship.** A consumer does not, however, have a continuing relationship with you if:

- (A) The consumer obtains a financial product or service only in isolated transactions, such as using your ATM to withdraw cash from an account at another financial institution or purchasing a cashier's check or money order;
 - (B) You sell the consumer's loan and do not retain the rights to service that loan; or
 - (C) You sell the consumer airline tickets, travel insurance, or traveler's checks in isolated transactions.
- (3) **Examples in the case of covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (j)(3), "you" is limited to financial institutions described in paragraph (l)(3) of this section.
- (i) **Continuing relationship.** A consumer has a continuing relationship with you if the consumer:
 - (A) Has a credit or investment account with you;
 - (B) Obtains a loan from you;
 - (C) Purchases an insurance product from you;
 - (D) Holds an investment product through you, such as when you act as a custodian for securities or for assets in an Individual Retirement Arrangement;
 - (E) Enters into an agreement or understanding with you whereby you undertake to arrange or broker a home mortgage loan, or credit to purchase a vehicle, for the consumer;
 - (F) Enters into a lease of personal property on a non-operating basis with you;
 - (G) Obtains financial, investment, or economic advisory services from you for a fee;
 - (H) Becomes your client for the purpose of obtaining tax preparation or credit counseling services from you;
 - (I) Obtains career counseling while seeking employment with a financial institution or the finance, accounting, or audit department of any company (or while employed by such a financial institution or department of any company);
 - (J) Is obligated on an account that you purchase from another financial institution, regardless of whether the account is in default when purchased, unless you do not locate the consumer or attempt to collect any amount from the consumer on the account;
 - (K) Obtains real estate settlement services from you; or
 - (L) Has a loan for which you own the servicing rights.
 - (ii) **No continuing relationship.** A consumer does not, however, have a continuing relationship with you if:
 - (A) The consumer obtains a financial product or service from you only in isolated transactions, such as using your ATM to withdraw cash from an account at another financial institution; purchasing a money order from you; cashing a check with you; or making a wire transfer through you;
 - (B) You sell the consumer's loan and do not retain the rights to service that loan;
 - (C) You sell the consumer airline tickets, travel insurance, or traveler's checks in isolated transactions;

- (D) The consumer obtains one-time personal or real property appraisal services from you; or
- (E) The consumer purchases checks for a personal checking account from you.

(4) **Examples in the case of a credit union.**

(i) **Continuing relationship.** A consumer has a continuing relationship with a credit union if the consumer:

- (A) Is a member as defined in the credit union's bylaws;
- (B) Is a nonmember who has a share, share draft, or credit card account with the credit union jointly with a member;
- (C) Is a nonmember who has a loan that the credit union services;
- (D) Is a nonmember who has an account with a credit union that has been designated as a low-income credit union; or
- (E) Is a nonmember who has an account in a federally-insured, state-chartered credit union pursuant to state law.

(ii) **No continuing relationship.** A consumer does not, however, have a continuing relationship with a credit union if the consumer is a nonmember and:

- (A) The consumer only obtains a financial product or service in isolated transactions, such as using the credit union's ATM to withdraw cash from an account maintained at another financial institution or purchasing travelers checks; or
- (B) The credit union sells the consumer's loan and does not retain the rights to service that loan.

(k) **Federal functional regulator** means:

- (1) The Board of Governors of the Federal Reserve System;
- (2) The Office of the Comptroller of the Currency;
- (3) The Board of Directors of the Federal Deposit Insurance Corporation;
- (4) The National Credit Union Administration Board; and
- (5) The Securities and Exchange Commission.

(l)

(1) Except for entities described in paragraph (l)(3) of this section, *financial institution* means any institution the business of which is engaging in activities that are financial in nature or incidental to such financial activities as described in section 4(k) of the Bank Holding Company Act of 1956 (12 U.S.C. 1843(k)).

(2) For purposes of paragraph (l)(1) of this section, *financial institution* does not include:

- (i) Any person or entity with respect to any financial activity that is subject to the jurisdiction of the Commodity Futures Trading Commission under the Commodity Exchange Act (7 U.S.C. 1 et seq.);

- (ii) The Federal Agricultural Mortgage Corporation or any entity chartered and operating under the Farm Credit Act of 1971 (12 U.S.C. 2001 *et seq.*) or
- (iii) Institutions chartered by Congress specifically to engage in securitizations, secondary market sales (including sales of servicing rights), or similar transactions related to a transaction of a consumer, as long as such institutions do not sell or transfer nonpublic personal information to a nonaffiliated third party.

(3)

- (i) ***Special definition for entities subject to the Federal Trade Commission's enforcement jurisdiction.*** In the case of an entity described in section 505(a)(7) of the GLB Act (other than such an entity described in section 504(a)(1)(C) of that Act), *financial institution* means any institution the business of which is engaging in financial activities as described in section 4(k) of the Bank Holding Company Act of 1956 (12 U.S.C. 1843(k)). For purposes of this paragraph (l)(3), an institution that is significantly engaged in financial activities is a financial institution.
- (ii) ***Examples of financial institution.*** For purposes of this paragraph (l)(3):
 - (A) A retailer that extends credit by issuing its own credit card directly to consumers is a financial institution because extending credit is a financial activity listed in 12 CFR 225.28(b)(1) and referenced in section 4(k)(4)(F) of the Bank Holding Company Act and issuing that extension of credit through a proprietary credit card demonstrates that a retailer is significantly engaged in extending credit.
 - (B) A personal property or real estate appraiser is a financial institution because real and personal property appraisal is a financial activity listed in 12 CFR 225.28(b)(2)(i) and referenced in section 4(k)(4)(F) of the Bank Holding Company Act.
 - (C) An automobile dealership that is not described in section 1029(a) of the Dodd-Frank Act (12 U.S.C. 5519(a)) and that, as a usual part of its business, leases automobiles on a nonoperating basis for longer than 90 days is a financial institution with respect to its leasing business because leasing personal property on a nonoperating basis where the initial term of the lease is at least 90 days is a financial activity listed in 12 CFR 225.28(b)(3) and referenced in section 4(k)(4)(F) of the Bank Holding Company Act.
 - (D) A career counselor that specializes in providing career counseling services to individuals currently employed by or recently displaced from a financial organization, individuals who are seeking employment with a financial organization, or individuals who are currently employed by or seeking placement with the finance, accounting or audit departments of any company is a financial institution because such career counseling activities are financial activities listed in 12 CFR 225.28(b)(9)(iii) and referenced in section 4(k)(4)(F) of the Bank Holding Company Act.
 - (E) A business that prints and sells checks for consumers, either as its sole business or as one of its product lines, is a financial institution because printing and selling checks is a financial activity that is listed in 12 CFR 225.28(b)(10)(ii) and referenced in section 4(k)(4)(F) of the Bank Holding Company Act.

- (F) A business that regularly wires money to and from consumers is a financial institution because transferring money is a financial activity referenced in section 4(k)(4)(A) of the Bank Holding Company Act and regularly providing that service demonstrates that the business is significantly engaged in that activity.
- (G) A check cashing business is a financial institution because cashing a check is exchanging money, which is a financial activity listed in section 4(k)(4)(A) of the Bank Holding Company Act.
- (H) An accountant or other tax preparation service that is in the business of completing income tax returns is a financial institution because tax preparation services is a financial activity listed in 12 CFR 225.28(b)(6)(vi) and referenced in section 4(k)(4)(G) of the Bank Holding Company Act.
- (I) A business that operates a travel agency in connection with financial services is a financial institution because operating a travel agency in connection with financial services is a financial activity listed in 12 CFR 211.5(d)(15) and referenced in section 4(k)(4)(G) of the Bank Holding Company Act.
- (J) An entity that provides real estate settlement services is a financial institution because providing real estate settlement services is a financial activity listed in 12 CFR 225.28(b)(2)(viii) and referenced in section 4(k)(4)(F) of the Bank Holding Company Act.
- (K) A mortgage broker is a financial institution because brokering loans is a financial activity listed in 12 CFR 225.28(b)(1) and referenced in section 4(k)(4)(F) of the Bank Holding Company Act.
- (L) An investment advisory company and a credit counseling service are each financial institutions because providing financial and investment advisory services are financial activities referenced in section 4(k)(4)(C) of the Bank Holding Company Act.
- (iii) For purposes of this paragraph (l)(3), *financial institution* does not include:
 - (A) Any person or entity with respect to any financial activity that is subject to the jurisdiction of the Commodity Futures Trading Commission under the Commodity Exchange Act (7 U.S.C. 1 *et seq.*)
 - (B) The Federal Agricultural Mortgage Corporation or any entity chartered and operating under the Farm Credit Act of 1971 (12 U.S.C. 2001 *et seq.*) or
 - (C) Institutions chartered by Congress specifically to engage in securitizations, secondary market sales (including sales of servicing rights) or similar transactions related to a transaction of a consumer, as long as such institutions do not sell or transfer nonpublic personal information to a nonaffiliated third party other than as permitted by §§ 1016.14 and 1016.15 of this part.
 - (D) Entities that engage in financial activities but that are not significantly engaged in those financial activities.
- (iv) *Examples of entities that are not significantly engaged in financial activities.*
 - (A) A retailer is not a financial institution if its only means of extending credit are occasional "lay away" and deferred payment plans or accepting payment by means of credit cards issued by others.

- (B) A retailer is not a financial institution merely because it accepts payment in the form of cash, checks, or credit cards that it did not issue.
- (C) A merchant is not a financial institution merely because it allows an individual to “run a tab.”
- (D) A grocery store is not a financial institution merely because it allows individuals to whom it sells groceries to cash a check, or write a check for a higher amount than the grocery purchase and obtain cash in return.

(m)

- (1) **Financial product or service** means any product or service that a financial holding company could offer by engaging in an activity that is financial in nature or incidental to such a financial activity under section 4(k) of the Bank Holding Company Act of 1956 (12 U.S.C. 1843(k)).
- (2) **Special definition for entities subject to the Federal Trade Commission's enforcement jurisdiction.** In the case of an entity described in section 505(a)(7) of the GLB Act (other than such an entity described in section 504(a)(1)(C) of that Act), *financial product or service* means any product or service that a financial holding company could offer by engaging in a financial activity under section 4(k) of the Bank Holding Company Act of 1956 (12 U.S.C. 1843(k)).
- (3) **Financial service** includes your evaluation or brokerage of information that you collect in connection with a request or an application from a consumer for a financial product or service.

(n) **Member** means a consumer who is a member of a credit union, as defined in the credit union's bylaws.

(o)

- (1) **Nonaffiliated third party** means any person except:
 - (i) Your affiliate; or
 - (ii) A person employed jointly by you and any company that is not your affiliate (but *nonaffiliated third party* includes the other company that jointly employs the person).
- (2) **Nonaffiliated third party** includes, for financial institutions other than credit unions, any company that is an affiliate solely by virtue of your or your affiliate's direct or indirect ownership or control of the company in conducting merchant banking or investment banking activities of the type described in section 4(k)(4)(H) or insurance company investment activities of the type described in section 4(k)(4)(I) of the Bank Holding Company Act of 1956 (12 U.S.C. 1843(k)(4)(H) and (I)).

(p)

- (1) **Nonpublic personal information** means:
 - (i) Personally identifiable financial information; and
 - (ii) Any list, description, or other grouping of consumers (and publicly available information pertaining to them) that is derived using any personally identifiable financial information that is not publicly available.
- (2) **Nonpublic personal information** does not include:
 - (i) Publicly available information, except as included on a list described in paragraph (p)(1)(ii) of this section; or

- (ii) Any list, description, or other grouping of consumers (and publicly available information pertaining to them) that is derived without using any personally identifiable financial information that is not publicly available.

(3) **Examples of lists.**

- (i) Nonpublic personal information includes any list of individuals' names and street addresses that is derived in whole or in part using personally identifiable financial information that is not publicly available, such as account numbers.
- (ii) Nonpublic personal information does not include any list of individuals' names and addresses that contains only publicly available information, is not derived in whole or in part using personally identifiable financial information that is not publicly available, and is not disclosed in a manner that indicates that any of the individuals on the list is a consumer of a financial institution.

(q)

(1) **Personally identifiable financial information** means any information:

- (i) A consumer provides to you to obtain a financial product or service from you;
- (ii) About a consumer resulting from any transaction involving a financial product or service between you and a consumer; or
- (iii) You otherwise obtain about a consumer in connection with providing a financial product or service to that consumer.

(2) **Examples —**

- (i) **Information included.** Personally identifiable financial information includes:
 - (A) Information a consumer provides to you on an application to obtain a loan, a credit card, a credit union membership, or other financial product or service;
 - (B) Account balance information, payment history, overdraft history, and credit or debit card purchase information;
 - (C) The fact that an individual is or has been one of your customers or has obtained a financial product or service from you;
 - (D) Any information about your consumer if it is disclosed in a manner that indicates that the individual is or has been your consumer;
 - (E) Any information that a consumer provides to you or that you or your agent otherwise obtain in connection with collecting on, or servicing, a loan or a credit account;
 - (F) Any information you collect through an internet “cookie” (an information collecting device from a Web server); and
 - (G) Information from a consumer report.
- (ii) **Information not included.** Personally identifiable financial information does not include:
 - (A) A list of names and addresses of customers of an entity that is not a financial institution; and

- (B) Information that does not identify a consumer, such as aggregate information or blind data that does not contain personal identifiers such as account numbers, names, or addresses.

(r)

- (1) **Publicly available information** means any information that you have a reasonable basis to believe is lawfully made available to the general public from:
 - (i) Federal, state, or local government records;
 - (ii) Widely distributed media; or
 - (iii) Disclosures to the general public that are required to be made by Federal, state, or local law.
- (2) **Reasonable basis.** You have a reasonable basis to believe that information is lawfully made available to the general public if you have taken steps to determine:
 - (i) That the information is of the type that is available to the general public; and
 - (ii) Whether an individual can direct that the information not be made available to the general public and, if so, that your consumer has not done so.
- (3) **Examples –**
 - (i) **Government records.** Publicly available information in government records includes information in government real estate records and security interest filings.
 - (ii) **Widely distributed media.** Publicly available information from widely distributed media includes information from a telephone book, a television or radio program, a newspaper, or a Web site that is available to the general public on an unrestricted basis. A Web site is not restricted merely because an Internet service provider or a site operator requires a fee or a password, so long as access is available to the general public.
 - (iii) **Reasonable basis.**
 - (A) You have a reasonable basis to believe that mortgage information is lawfully made available to the general public if you have determined that the information is of the type included on the public record in the jurisdiction where the mortgage would be recorded.
 - (B) You have a reasonable basis to believe that an individual's telephone number is lawfully made available to the general public if you have located the telephone number in the telephone book or the consumer has informed you that the telephone number is not unlisted.

(s)

- (1) **You** means a financial institution for which the Bureau has rulemaking authority under section 504(a)(1)(A) of the GLB Act (15 U.S.C. 6804(a)(1)(A)).
- (2) **You** does not include:
 - (i) A financial institution that is a person described in section 1029(a) of the Consumer Financial Protection Act of 2010 (12 U.S.C. 5519(a));
 - (ii) A financial institution or other person subject to the jurisdiction on the Commodity Futures Trading Commission under 7 U.S.C. 7b-2;

- (iii) A broker or dealer that is registered under the Securities Exchange Act of 1934 (15 U.S.C. 78a et seq.);
- (iv) A registered investment adviser, properly registered by or on behalf of either the Securities Exchange Commission or any State, with respect to its investment advisory activities and its activities incidental to those investment advisory activities;
- (v) An investment company that is registered under the Investment Company Act of 1940 (15 U.S.C. 80a-1 et seq.) or
- (vi) An insurance company, with respect to its insurance activities and its activities incidental to those insurance activities, that is subject to supervision by a State insurance regulator.

[76 FR 79028, Dec. 21, 2011, as amended by CFPB-2016-0032, 83 FR 40958, Aug. 17, 2018]

Subpart A—Privacy and Opt Out Notices

§ 1016.4 Initial privacy notice to consumers required.

- (a) **Initial notice requirement.** You must provide a clear and conspicuous notice that accurately reflects your privacy policies and practices to:
 - (1) **Customer.** An individual who becomes your customer, not later than when you establish a customer relationship, except as provided in paragraph (e) of this section; and
 - (2) **Consumer.** A consumer, before you disclose any nonpublic personal information about the consumer to any nonaffiliated third party, if you make such a disclosure other than as authorized by §§ 1016.14 and 1016.15 of this part.
- (b) **When initial notice to a consumer is not required.** You are not required to provide an initial notice to a consumer under paragraph (a) of this section if:
 - (1) You do not disclose any nonpublic personal information about the consumer to any nonaffiliated third party, other than as authorized by §§ 1016.14 and 1016.15; and
 - (2) You do not have a customer relationship with the consumer.
- (c) **When you establish a customer relationship —**
 - (1) **General rule.** You establish a customer relationship when you and the consumer enter into a continuing relationship.
 - (2) **Special rule for loans.** You establish a customer relationship with a consumer when you originate or acquire the servicing rights to a loan to the consumer for personal, family, or household purposes. If you subsequently transfer the servicing rights to that loan to another financial institution, the customer relationship transfers with the servicing rights.
 - (3) **Examples —**
 - (i) **Examples of establishing customer relationship by financial institutions other than credit unions and covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (c)(3)(i), “you” is limited to financial institutions other than credit unions and financial institutions described in § 1016.3(l)(3). You establish a customer relationship when the consumer:

- (A) Opens a credit card account with you;
- (B) Executes the contract to open a deposit account with you, obtains credit from you, or purchases insurance from you;
- (C) Agrees to obtain financial, economic, or investment advisory services from you for a fee; or
- (D) Becomes your client for the purpose of your providing credit counseling or tax preparation services.

(ii) ***Examples of establishing customer relationship by covered entities subject to FTC enforcement jurisdiction.*** For purposes of this paragraph (c)(3)(ii), “you” is limited to financial institutions described in § 1016.3(l)(3) of this part. You establish a customer relationship when the consumer:

- (A) Opens a credit card account with you;
- (B) Executes the contract to obtain credit from you or purchases insurance from you;
- (C) Agrees to obtain financial, economic, or investment advisory services from you for a fee;
- (D) Becomes your client for the purpose of your providing credit counseling or tax preparation services or to obtain career counseling while seeking employment with a financial institution or the finance, accounting, or audit department of any company (or while employed by such a company or financial institution);
- (E) Provides any personally identifiable financial information to you in an effort to obtain a mortgage loan through you;
- (F) Executes the lease for personal property with you;
- (G) Is an obligor on an account that you purchased from another financial institution and whom you have located and begun attempting to collect amounts owed on the account; or
- (H) Provides you with the information necessary for you to compile and provide access to all of the consumer's online financial accounts at your Web site.

(iii) ***Examples of establishing customer relationship by credit unions.*** For purposes of this paragraph (c)(3)(iii), “you” is limited to a credit union. You establish a customer relationship when the consumer:

- (A) Becomes your member under your bylaws;
- (B) Is a nonmember and opens a credit card account with you jointly with a member under your procedures;
- (C) Is a nonmember and executes the contract to open a share or share draft account with you or obtains credit from you jointly with a member, including an individual acting as a guarantor;
- (D) Is a nonmember and opens an account with you and you are a credit union designated as a low-income credit union;
- (E) Is a nonmember and opens an account with you pursuant to State law and you are a State-chartered credit union.

- (iv) **Examples of loan rule.** You establish a customer relationship with a consumer who obtains a loan for personal, family, or household purposes when you:
 - (A) Originate the loan to the consumer; or
 - (B) Purchase the servicing rights to the consumer's loan.
- (d) **Existing customers.** When an existing customer obtains a new financial product or service from you that is to be used primarily for personal, family, or household purposes, you satisfy the initial notice requirements of paragraph (a) of this section as follows:
 - (1) You may provide a revised privacy notice, under § 1016.8 of this part, that covers the customer's new financial product or service; or
 - (2) If the initial, revised, or annual notice that you most recently provided to that customer was accurate with respect to the new financial product or service, you do not need to provide a new privacy notice under paragraph (a) of this section.
- (e) **Exceptions to allow subsequent delivery of notice.**
 - (1) You may provide the initial notice required by paragraph (a)(1) of this section within a reasonable time after you establish a customer relationship if:
 - (i) Establishing the customer relationship is not at the customer's election; or
 - (ii) Providing notice not later than when you establish a customer relationship would substantially delay the customer's transaction and the customer agrees to receive the notice at a later time.
 - (2) **Examples of exceptions —**
 - (i) **Not at customer's election.**
 - (A) In the case of financial institutions other than credit unions and financial institutions described in § 1016.3(l)(3), establishing a customer relationship is not at the customer's election if you acquire a customer's deposit liability or the servicing rights to a customer's loan from another financial institution and the customer does not have a choice about your acquisition.
 - (B) In the case of financial institutions described in § 1016.3(l)(3), establishing a customer relationship is not at the customer's election if you acquire a customer's loan or the servicing rights from another financial institution and the customer does not have a choice about your acquisition.
 - (C) In the case of credit unions, establishing a customer relationship is not at the customer's election if you acquire a customer's deposit liability from another financial institution and the customer does not have a choice about your acquisition.
 - (ii) **Substantial delay of customer's transaction.** Providing notice not later than when you establish a customer relationship would substantially delay the customer's transaction when:
 - (A) You and the individual agree over the telephone to enter into a customer relationship involving prompt delivery of the financial product or service; or

(B) You establish a customer relationship with an individual under a program authorized by title IV of the Higher Education Act of 1965 (20 U.S.C. 1070 *et seq.*) or similar student loan programs where loan proceeds are disbursed promptly without prior communication between you and the customer.

(iii) **No substantial delay of customer's transaction.** Providing notice not later than when you establish a customer relationship would not substantially delay the customer's transaction when the relationship is initiated in person at your office or through other means by which the customer may view the notice, such as on a Web site.

(f) **Delivery.** When you are required to deliver an initial privacy notice by this section, you must deliver it according to § 1016.9 of this part. If you use a short-form initial notice for non-customers according to § 1016.6(d) of this part, you may deliver your privacy notice according to § 1016.6(d)(3).

§ 1016.5 Annual privacy notice to customers required.

(a)

(1) **General rule.** Except as provided by paragraph (e) of this section, you must provide a clear and conspicuous notice to customers that accurately reflects your privacy policies and practices not less than annually during the continuation of the customer relationship. *Annually* means at least once in any period of 12 consecutive months during which that relationship exists. You may define the 12-consecutive-month period, but you must apply it to the customer on a consistent basis.

(2) **Example.** You provide a notice annually if you define the 12-consecutive-month period as a calendar year and provide the annual notice to the customer once in each calendar year following the calendar year in which you provided the initial notice. For example, if a customer opens an account on any day of year 1, you must provide an annual notice to that customer by December 31 of year 2.

(b)

(1) **Termination of customer relationship.** You are not required to provide an annual notice to a former customer.

(2) **Examples in the case of financial institutions other than credit unions and covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (b)(2), "you" is limited to financial institutions other than credit unions and financial institutions described in § 1016.3(l)(3). Your customer becomes a former customer when:

- (i) In the case of a deposit account, the account is inactive under your policies;
- (ii) In the case of a closed-end loan, the customer pays the loan in full, you charge off the loan, or you sell the loan without retaining servicing rights;
- (iii) In the case of a credit card relationship or other open-end credit relationship, you no longer provide any statements or notices to the customer concerning that relationship or you sell the credit card receivables without retaining servicing rights; or
- (iv) You have not communicated with the customer about the relationship for a period of 12 consecutive months, other than to provide annual privacy notices or promotional material.

(3) **Examples in the case of covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (b)(3), "you" is limited to financial institutions described in § 1016.3(l)(3) of this part. Your customer becomes a former customer when:

- (i) In the case of a closed-end loan, the customer pays the loan in full, you charge off the loan, or you sell the loan without retaining servicing rights;
- (ii) In the case of a credit card relationship or other open-end credit relationship, you sell the receivables without retaining servicing rights;
- (iii) In the case of credit counseling services, the customer has failed to make required payments under a debt management plan, has been notified that the plan is terminated, and you no longer provide any statements or notices to the customer concerning that relationship;
- (iv) In the case of mortgage or vehicle loan brokering services, your customer has obtained a loan through you (and you no longer provide any statements or notices to the customer concerning that relationship), or has ceased using your services for such purposes;
- (v) In the case of tax preparation services, you have provided and received payment for the service and no longer provide any statements or notices to the customer concerning that relationship;
- (vi) In the case of providing real estate settlement services, at the time the customer completes execution of all documents related to the real estate closing, you have received payment, or you have completed all of your responsibilities with respect to the settlement, including filing documents on the public record, whichever is later; or
- (vii) In cases where there is no definitive time at which the customer relationship has terminated, you have not communicated with the customer about the relationship for a period of 12 consecutive months, other than to provide annual privacy notices or promotional material.

(4) **Examples in the case of a credit union.** An individual becomes a former customer of a credit union when:

- (i) The individual is no longer the credit union's member as defined in the credit union's bylaws;
- (ii) In the case of a nonmember's share or share draft account, the account is inactive under the credit union's policies;
- (iii) In the case of a nonmember's closed-end loan, the loan is paid in full, the credit union charges off the loan, or the credit union sells the loan without retaining servicing rights;
- (iii) In the case of a credit card relationship or other open-end credit relationship with a nonmember, the credit union no longer provides any statements or notices to the nonmember concerning that relationship, or the credit union sells the credit card receivables without retaining servicing rights; or
- (v) The credit union has not communicated with the nonmember about the relationship for a period of 12 consecutive months, other than to provide annual privacy notices or promotional material.

(c) **Special rule for loans in the case of a financial institution other than a credit union.** If a financial institution other than a credit union does not have a customer relationship with a consumer under the special rule for loans in § 1016.4(c)(2) of this part, then it need not provide an annual notice to that consumer under this section.

(d) **Delivery.** When you are required to deliver an annual privacy notice by this section, you must deliver it according to § 1016.9 of this part.

(e) **Exception to annual privacy notice requirement —**

- (1) **When exception available.** You are not required to deliver an annual privacy notice if you:
 - (i) Provide nonpublic personal information to nonaffiliated third parties only in accordance with the provisions of § 1016.13, § 1016.14, or § 1016.15; and
 - (ii) Have not changed your policies and practices with regard to disclosing nonpublic personal information from the policies and practices that were disclosed to the customer under § 1016.6(a)(2) through (5) and (9) in the most recent privacy notice provided pursuant to this part.
- (2) **Delivery of annual privacy notice after financial institution no longer meets requirements for exception.** If you have been excepted from delivering an annual privacy notice pursuant to paragraph (e)(1) of this section and change your policies or practices in such a way that you no longer meet the requirements for that exception, you must comply with paragraph (e)(2)(i) or (e)(2)(ii) of this section, as applicable.
 - (i) **Changes preceded by a revised privacy notice.** If you no longer meet the requirements of paragraph (e)(1) of this section because you change your policies or practices in such a way that § 1016.8 requires you to provide a revised privacy notice, you must provide an annual privacy notice in accordance with the timing requirements in paragraph (a) of this section, treating the revised privacy notice as an initial privacy notice.
 - (ii) **Changes not preceded by a revised privacy notice.** If you no longer meet the requirements of paragraph (e)(1) of this section because you change your policies or practices in such a way that § 1016.8 does not require you to provide a revised privacy notice, you must provide an annual privacy notice within 100 days of the change in your policies or practices that causes you to no longer meet the requirements of paragraph (e)(1) of this section.
- (iii) **Examples.**
 - (A) You change your policies and practices in such a way that you no longer meet the requirements of paragraph (e)(1) of this section effective April 1 of year 1. Assuming you define the 12-consecutive-month period pursuant to paragraph (a) of this section as a calendar year, if you were required to provide a revised privacy notice under § 1016.8 and you provided that notice on March 1 of year 1, you must provide an annual privacy notice by December 31 of year 2. If you were not required to provide a revised privacy notice under § 1016.8, you must provide an annual privacy notice by July 9 of year 1.
 - (B) You change your policies and practices in such a way that you no longer meet the requirements of paragraph (e)(1) of this section, and so provide an annual notice to your customers. After providing the annual notice to your customers, you once again meet the requirements of paragraph (e)(1) of this section for an exception to the annual notice requirement. You do not need to provide additional annual notices to your customers until such time as you no longer meet the requirements of paragraph (e)(1) of this section.

[76 FR 79028, Dec. 21, 2011, as amended by CFPB-2016-0032, 83 FR 40958, Aug. 17, 2018]

§ 1016.6 Information to be included in privacy notices.

- (a) **General rule.** The initial, annual, and revised privacy notices that you provide under §§ 1016.4, 1016.5, and 1016.8 of this part must include each of the following items of information, in addition to any other information you wish to provide, that applies to you and to the consumers to whom you send your privacy notice:
- (1) The categories of nonpublic personal information that you collect;
 - (2) The categories of nonpublic personal information that you disclose;
 - (3) The categories of affiliates and nonaffiliated third parties to whom you disclose nonpublic personal information, other than those parties to whom you disclose information under §§ 1016.14 and 1016.15 of this part;
 - (4) The categories of nonpublic personal information about your former customers that you disclose and the categories of affiliates and nonaffiliated third parties to whom you disclose nonpublic personal information about your former customers, other than those parties to whom you disclose information under §§ 1016.14 and 1016.15;
 - (5) If you disclose nonpublic personal information to a nonaffiliated third party under § 1016.13 (and no other exception in § 1016.14 or § 1016.15 applies to that disclosure), a separate statement of the categories of information you disclose and the categories of third parties with whom you have contracted;
 - (6) An explanation of the consumer's right under § 1016.10(a) of this part to opt out of the disclosure of nonpublic personal information to nonaffiliated third parties, including the method(s) by which the consumer may exercise that right at that time;
 - (7) Any disclosures that you make under section 603(d)(2)(A)(iii) of the Fair Credit Reporting Act (15 U.S.C. 1681a(d)(2)(A)(iii)) (that is, notices regarding the ability to opt out of disclosures of information among affiliates);
 - (8) Your policies and practices with respect to protecting the confidentiality and security of nonpublic personal information; and
 - (9) Any disclosure that you make under paragraph (b) of this section.
- (b) **Description of nonaffiliated third parties subject to exceptions.** If you disclose nonpublic personal information to third parties as authorized under §§ 1016.14 and 1016.15, you are not required to list those exceptions in the initial or annual privacy notices required by §§ 1016.4 and 1016.5. When describing the categories with respect to those parties, it is sufficient to state that you make disclosures to other nonaffiliated companies:
- (1) For your everyday business purposes, such as *[include all that apply]* to process transactions, maintain account(s), respond to court orders and legal investigations, or report to credit bureaus; or
 - (2) As permitted by law.
- (c) **Examples —**
- (1) **Categories of nonpublic personal information that you collect.** You satisfy the requirement to categorize the nonpublic personal information that you collect if you list the following categories, as applicable:

- (i) Information from the consumer;
 - (ii) Information about the consumer's transactions with you or your affiliates;
 - (iii) Information about the consumer's transactions with nonaffiliated third parties; and
 - (iv) Information from a consumer reporting agency.
- (2) ***Categories of nonpublic personal information you disclose.***
- (i) You satisfy the requirement to categorize the nonpublic personal information that you disclose if you list the categories described in paragraph (c)(1) of this section, as applicable, and a few examples to illustrate the types of information in each category.
 - (ii) If you reserve the right to disclose all of the nonpublic personal information about consumers that you collect, you may simply state that fact without describing the categories or examples of the nonpublic personal information you disclose.
- (3) ***Categories of affiliates and nonaffiliated third parties to whom you disclose.*** You satisfy the requirement to categorize the affiliates and nonaffiliated third parties to whom you disclose nonpublic personal information if you list the following categories, as applicable, and a few examples to illustrate the types of third parties in each category.
- (i) Financial service providers, followed by illustrative examples such as mortgage bankers, securities broker-dealers, and insurance agents;
 - (ii) Non-financial companies, followed by illustrative examples such as retailers, magazine publishers, airlines, and direct marketers; and
 - (iii) Others, followed by examples such as nonprofit organizations.
- (4) ***Disclosures under exception for service providers and joint marketers.*** If you disclose nonpublic personal information under the exception in § 1016.13 of this part to a nonaffiliated third party to market products or services that you offer alone or jointly with another financial institution, you satisfy the disclosure requirement of paragraph (a)(5) of this section if you:
- (i) List the categories of nonpublic personal information you disclose, using the same categories and examples you used to meet the requirements of paragraph (a)(2) of this section, as applicable; and
 - (ii) State whether the third party is:
 - (A) A service provider that performs marketing services on your behalf or on behalf of you and another financial institution; or
 - (B) A financial institution with whom you have a joint marketing agreement.
- (5) ***Simplified notices.*** If you do not disclose, and do not wish to reserve the right to disclose, nonpublic personal information about customers or former customers to affiliates or nonaffiliated third parties except as authorized under §§ 1016.14 and 1016.15, you may simply state that fact, in addition to the information you must provide under paragraphs (a)(1), (a)(8), (a)(9), and (b) of this section.
- (6) ***Confidentiality and security.*** You describe your policies and practices with respect to protecting the confidentiality and security of nonpublic personal information if you do both of the following:
- (i) Describe in general terms who is authorized to have access to the information; and

- (ii) State whether you have security practices and procedures in place to ensure the confidentiality of the information in accordance with your policy. You are not required to describe technical information about the safeguards you use.

(d) **Short-form initial notice with opt out notice for non-customers.**

- (1) You may satisfy the initial notice requirements in §§ 1016.4(a)(2), 1016.7(b), and 1016.7(c) of this part for a consumer who is not a customer by providing a short-form initial notice at the same time as you deliver an opt out notice as required in § 1016.7.
- (2) A short-form initial notice must:
 - (i) Be clear and conspicuous;
 - (ii) State that your privacy notice is available upon request; and
 - (iii) Explain a reasonable means by which the consumer may obtain that notice.
- (3) You must deliver your short-form initial notice according to § 1016.9. You are not required to deliver your privacy notice with your short-form initial notice. You instead may simply provide the consumer a reasonable means to obtain your privacy notice. If a consumer who receives your short-form notice requests your privacy notice, you must deliver your privacy notice according to § 1016.9.
- (4) **Examples of obtaining privacy notice.** You provide a reasonable means by which a consumer may obtain a copy of your privacy notice if you:
 - (i) Provide a toll-free telephone number that the consumer may call to request the notice; or
 - (ii) For a consumer who conducts business in person at your office, maintain copies of the notice on hand that you provide to the consumer immediately upon request.

(e) **Future disclosures.** Your notice may include:

- (1) Categories of nonpublic personal information that you reserve the right to disclose in the future, but do not currently disclose; and
- (2) Categories of affiliates or nonaffiliated third parties to whom you reserve the right in the future to disclose, but to whom you do not currently disclose, nonpublic personal information.

(f) **Model privacy form.** Pursuant to § 1016.2(a) of this part, a model privacy form that meets the notice content requirements of this section is included in the appendix to this part.

§ 1016.7 Form of opt out notice to consumers; opt out methods.

(a)

- (1) **Form of opt out notice.** If you are required to provide an opt out notice under § 1016.10(a), you must provide a clear and conspicuous notice to each of your consumers that accurately explains the right to opt out under that section. The notice must state:
 - (i) That you disclose or reserve the right to disclose nonpublic personal information about your consumer to a nonaffiliated third party;
 - (ii) That the consumer has the right to opt out of that disclosure; and
 - (iii) A reasonable means by which the consumer may exercise the opt out right.
- (2) **Examples —**

- (i) **Adequate opt out notice.** You provide adequate notice that the consumer can opt out of the disclosure of nonpublic personal information to a nonaffiliated third party if you:
 - (A) Identify all of the categories of nonpublic personal information that you disclose or reserve the right to disclose, and all of the categories of nonaffiliated third parties to which you disclose the information, as described in § 1016.6(a)(2) and (3) of this part, and state that the consumer can opt out of the disclosure of that information; and
 - (B) Identify the financial products or services that the consumer obtains from you, either singly or jointly, to which the opt out direction would apply.
 - (ii) **Reasonable opt out means.** You provide a reasonable means to exercise an opt out right if you:
 - (A) Designate check-off boxes in a prominent position on the relevant forms with the opt out notice;
 - (B) Include a reply form together with the opt out notice that, in the case of financial institutions described in § 1016.3(l)(3) of this part, includes the address to which the form should be mailed;
 - (C) Provide an electronic means to opt out, such as a form that can be sent via electronic mail or a process at your Web site, if the consumer agrees to the electronic delivery of information; or
 - (D) Provide a toll-free telephone number that consumers may call to opt out.
 - (iii) **Unreasonable opt out means.** You *do not* provide a reasonable means of opting out if:
 - (A) The only means of opting out is for the consumer to write his or her own letter to exercise that opt out right; or
 - (B) The only means of opting out as described in any notice subsequent to the initial notice is to use a check-off box that you provided with the initial notice but did not include with the subsequent notice.
 - (iv) **Specific opt out means.** You may require each consumer to opt out through a specific means, as long as that means is reasonable for that consumer.
- (b) **Same form as initial notice permitted.** You may provide the opt out notice together with or on the same written or electronic form as the initial notice you provide in accordance with § 1016.4.
 - (c) **Initial notice required when opt out notice delivered subsequent to initial notice.** If you provide the opt out notice later than required for the initial notice in accordance with § 1016.4 of this part, you must also include a copy of the initial notice with the opt out notice in writing or, if the consumer agrees, electronically.
 - (d) **Joint relationships in the case of financial institutions other than credit unions and covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (d), “you” is limited to financial institutions other than credit unions and financial institutions described in § 1016.3(l)(3) of this part.
 - (1) If two or more consumers jointly obtain a financial product or service from you, you may provide a single opt out notice. Your opt out notice must explain how you will treat an opt out direction by a joint consumer (as explained in paragraph (d)(5) of this section).
 - (2) Any of the joint consumers may exercise the right to opt out. You may either:

(i) Treat an opt out direction by a joint consumer as applying to all of the associated joint consumers; or

(ii) Permit each joint consumer to opt out separately.

(3) If you permit each joint consumer to opt out separately, you must permit one of the joint consumers to opt out on behalf of all of the joint consumers.

(4) You may not require *all* joint consumers to opt out before you implement *any* opt out direction.

(5) **Example.** If John and Mary have a joint checking account with you and arrange for you to send statements to John's address, you may do any of the following, but you must explain in your opt out notice which opt out policy you will follow:

(i) Send a single opt out notice to John's address, but you must accept an opt out direction from either John or Mary.

(ii) Treat an opt out direction by either John or Mary as applying to the entire account. If you do so, and John opts out, you may not require Mary to opt out as well before implementing John's opt out direction.

(iii) Permit John and Mary to make different opt out directions. If you do so:

(A) You must permit John and Mary to opt out for each other;

(B) If both opt out, you must permit both to notify you in a single response (such as on a form or through a telephone call); and

(C) If John opts out and Mary does not, you may only disclose nonpublic personal information about Mary, but not about John and not about John and Mary jointly.

(e) ***Joint relationships in the case of credit unions.***

(1) If two or more consumers jointly obtain a financial product or service, other than a loan, from a credit union, the credit union may provide only a single opt out notice. The opt out notice must explain how the credit union will treat an opt out direction by a joint consumer (as explained in the examples in paragraph (e)(5) of this section).

(2) Any of the joint consumers may exercise the right to opt out. A credit union may either:

(i) Treat an opt out direction by a joint consumer to apply to all of the associated joint consumers; or

(ii) Permit each joint consumer to opt out separately.

(3) If a credit union permits each joint consumer to opt out separately, the credit union must permit one of the joint consumers to opt out on behalf of all of the joint consumers.

(4) A credit union may not require all joint consumers to opt out before the credit union implements any opt out direction.

(5) **Example.** If John and Mary have a joint share account with a credit union and arrange for the credit union to send statements to John's address, the credit union may do any of the following, but it must explain in its opt out notice which opt out policy it will follow:

(i) Send a single opt out notice to John's address, but it must accept an opt out direction from either John or Mary.

- (ii) Treat an opt out direction by either John or Mary as applying to the entire account. If it does so, and John opts out, it may not require Mary to opt out as well before implementing John's opt out direction.
- (iii) Permit John and Mary to make different opt out directions. If it does so, and if John and Mary both opt out, it must permit one or both of them to notify it in a single response (such as on a form or through a telephone call).

(6) ***Special rule for loans.***

- (i) A credit union is required to provide an initial opt out notice to a borrower or guarantor on a loan if it shares his or her nonpublic personal information with nonaffiliated third parties other than for purposes under §§ 1016.13, 1016.14, and 1016.15.
- (ii) A credit union may satisfy its annual opt out notice requirement by providing one notice to those borrowers and guarantors jointly.

(f) ***Joint relationships in the case of covered entities subject to FTC enforcement jurisdiction.*** For purposes of this paragraph (f), "you" is limited to the financial institutions described in § 1016.3(l)(3).

- (1) If two or more consumers jointly obtain a financial product or service from you, you may provide a single opt out notice, unless one or more of those consumers requests a separate opt out notice. Your opt out notice must explain how you will treat an opt out direction by a joint consumer (as explained in paragraph (f)(5) of this section).
- (2) Any of the joint consumers may exercise the right to opt out. You may either:
 - (i) Treat an opt out direction by a joint consumer as applying to all of the associated joint consumers; or
 - (ii) Permit each joint consumer to opt out separately.
- (3) If you permit each joint consumer to opt out separately, you must permit one of the joint consumers to opt out on behalf of all of the joint consumers.
- (4) You may not require *all* joint consumers to opt out before you implement *any* opt out direction.
- (5) ***Example.*** If John and Mary have a joint credit card account with you and arrange for you to send statements to John's address, you may do any of the following, but you must explain in your opt out notice which opt out policy you will follow:
 - (i) Send a single opt out notice to John's address, but you must accept an opt out direction from either John or Mary.
 - (ii) Treat an opt out direction by either John or Mary as applying to the entire account. If you do so, and John opts out, you may not require Mary to opt out as well before implementing John's opt out direction.
 - (iii) Permit John and Mary to make different opt out directions. If you do so:
 - (A) You must permit John and Mary to opt out for each other;
 - (B) If both opt out, you must permit both to notify you in a single response (such as on a form or through a telephone call); and

- (C) If John opts out and Mary does not, you may only disclose nonpublic personal information about Mary, but not about John and not about John and Mary jointly.
- (g) **Time to comply with opt out.** You must comply with a consumer's opt out direction as soon as reasonably practicable after you receive it.
- (h) **Continuing right to opt out.** A consumer may exercise the right to opt out at any time.
- (i) **Duration of consumer's opt out direction.**
 - (1) A consumer's direction to opt out under this section is effective until the consumer revokes it in writing or, if the consumer agrees, electronically.
 - (2) When a customer relationship terminates, the customer's opt out direction continues to apply to the nonpublic personal information that you collected during or related to that relationship. If the individual subsequently establishes a new customer relationship with you, the opt out direction that applied to the former relationship does not apply to the new relationship.
- (j) **Delivery.** When you are required to deliver an opt out notice by this section, you must deliver it according to § 1016.9 of this part.
- (k) **Model privacy form.** Pursuant to § 1016.2(a) of this part, a model privacy form that meets the notice content requirements of this section is included in the appendix to this part.

§ 1016.8 Revised privacy notices.

- (a) **General rule.** Except as otherwise authorized in this part, you must not, directly or through any affiliate, disclose any nonpublic personal information about a consumer to a nonaffiliated third party other than as described in the initial notice that you provided to that consumer under § 1016.4 of this part, unless:
 - (1) You have provided to the consumer a clear and conspicuous revised notice that accurately describes your policies and practices;
 - (2) You have provided to the consumer a new opt out notice;
 - (3) You have given the consumer a reasonable opportunity, before you disclose the information to the nonaffiliated third party, to opt out of the disclosure; and
 - (4) The consumer does not opt out.
- (b) **Examples.**
 - (1) Except as otherwise permitted by §§ 1016.13, 1016.14, and 1016.15 of this part, you must provide a revised notice before you:
 - (i) Disclose a new category of nonpublic personal information to any nonaffiliated third party;
 - (ii) Disclose nonpublic personal information to a new category of nonaffiliated third party; or
 - (iii) Disclose nonpublic personal information about a former customer to a nonaffiliated third party, if that former customer has not had the opportunity to exercise an opt out right regarding that disclosure.
 - (2) A revised notice is not required if you disclose nonpublic personal information to a new nonaffiliated third party that you adequately described in your prior notice.

- (c) **Delivery.** When you are required to deliver a revised privacy notice by this section, you must deliver it according to § 1016.9 of this part.

§ 1016.9 Delivering privacy and opt out notices.

- (a) **How to provide notices.** You must provide any privacy notices and opt out notices, including short-form initial notices, that this part requires so that each consumer can reasonably be expected to receive actual notice in writing or, if the consumer agrees, electronically.
- (b)
 - (1) **Examples of reasonable expectation of actual notice.** You may reasonably expect that a consumer will receive actual notice if you:
 - (i) Hand-deliver a printed copy of the notice to the consumer;
 - (ii) Mail a printed copy of the notice to the last known address of the consumer;
 - (iii) For the consumer who conducts transactions electronically:
 - (A) In the case of financial institutions other than those described in § 1016.3(l)(3) of this part, post the notice on the electronic site and require the consumer to acknowledge receipt of the notice as a necessary step to obtaining a particular financial product or service; or
 - (B) In the case of financial institutions described in § 1016.3(l)(3), clearly and conspicuously post the notice on the electronic site and require the consumer to acknowledge receipt of the notice as a necessary step to obtaining a particular financial product or service;
 - (iv) For an isolated transaction with the consumer, such as an ATM transaction, post the notice on the ATM screen and require the consumer to acknowledge receipt of the notice as a necessary step to obtaining the particular financial product or service.
 - (2) **Examples of unreasonable expectation of actual notice.** You may *not*, however, reasonably expect that a consumer will receive actual notice of your privacy policies and practices if you:
 - (i) Only post a sign in your branch or office or generally publish advertisements of your privacy policies and practices; or
 - (ii) Send the notice via electronic mail to a consumer who does not obtain a financial product or service from you electronically.
- (c) **Annual notices only.** You may reasonably expect that a customer will receive actual notice of your annual privacy notice if:
 - (1) The customer uses your website to access financial products and services electronically and agrees to receive notices at the website, and you post your current privacy notice continuously in a clear and conspicuous manner on the website; or
 - (2) The customer has requested that you refrain from sending any information regarding the customer relationship, and your current privacy notice remains available to the customer upon request.
- (d) **Oral description of notice insufficient.** You may not provide any notice required by this part solely by orally explaining the notice, either in person or over the telephone.
- (e) **Retention or accessibility of notices for customers.**

- (1) For customers only, you must provide the initial notice required by § 1016.4(a)(1), the annual notice required by § 1016.5(a), and the revised notice required by § 1016.8 so that the customer can retain them or obtain them later in writing or, if the customer agrees, electronically.
- (2) **Examples of retention or accessibility.** You provide a privacy notice to the customer so that the customer can retain it or obtain it later if you:
 - (i) Hand-deliver a printed copy of the notice to the customer;
 - (ii) Mail a printed copy of the notice to the last known address of the customer, or, in the case of credit unions, mail a printed copy of the notice to the last known address of the customer upon request of the customer; or
 - (iii) Make your current privacy notice available on a Web site (or a link to another Web site) for the customer who obtains a financial product or service electronically and agrees to receive the notice at the Web site.
- (f) **Joint notice with other financial institutions.** You may provide a joint notice from you and one or more of your affiliates or other financial institutions, as identified in the notice, as long as the notice is accurate with respect to you and the other institutions.
- (g) **Joint relationships in the case of financial institutions other than credit unions and covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (g), “you” is limited to financial institutions other than credit unions and the financial institutions described in § 1016.3(l)(3). If two or more consumers jointly obtain a financial product or service from you, you may satisfy the initial, annual, and revised notice requirements of §§ 1016.4(a), 1016.5(a), and 1016.8(a), respectively, by providing one notice to those consumers jointly.
- (h) **Joint relationships in the case of covered entities subject to FTC enforcement jurisdiction.** For purposes of this paragraph (h), “you” is limited to the financial institutions described in § 1016.3(l)(3). If two or more consumers jointly obtain a financial product or service from you, you may satisfy the initial, annual, and revised notice requirements of §§ 1016.4(a), 1016.5(a), and 1016.8(a) by providing one notice to those consumers jointly, unless one or more of those consumers requests separate notices.
- (i) **Joint relationships in the case of credit unions.**
 - (1) If two or more consumers jointly obtain a financial product or service, other than a loan, from a credit union, the credit union may satisfy the requirements of § 1016.4(a) by providing one initial notice to those consumers jointly.
 - (2) **Special rule for loans in the case of credit unions.**
 - (i) A credit union is required to provide an initial notice to a borrower or guarantor on a loan if the credit union shares his or her nonpublic personal information with nonaffiliated third parties other than for purposes under §§ 1016.13, 1016.14, and 1016.15.
 - (ii) A credit union may satisfy the annual notice requirements of § 1016.5 by providing one notice to those borrowers and guarantors jointly.

[76 FR 79028, Dec. 21, 2011, as amended at 79 FR 64081, Oct. 28, 2014; CFPB-2016-0032, 83 FR 40959, Aug. 17, 2018]

Subpart B—Limits on Disclosures

§ 1016.10 Limits on disclosure of nonpublic personal information to nonaffiliated third parties.

(a)

(1) **Conditions for disclosure.** Except as otherwise authorized in this part, you may not, directly or through any affiliate, disclose any nonpublic personal information about a consumer to a nonaffiliated third party unless:

- (i) You have provided to the consumer an initial notice as required under § 1016.4 of this part;
- (ii) You have provided to the consumer an opt out notice as required in § 1016.7 of this part;
- (iii) You have given the consumer a reasonable opportunity, before you disclose the information to the nonaffiliated third party, to opt out of the disclosure; and
- (iv) The consumer does not opt out.

(2) **Opt out definition.** Opt out means a direction by the consumer that you not disclose nonpublic personal information about that consumer to a nonaffiliated third party, other than as permitted by §§ 1016.13, 1016.14, and 1016.15.

(3) **Examples of reasonable opportunity to opt out.** You provide a consumer with a reasonable opportunity to opt out if:

- (i) **By mail.** You mail the notices required in paragraph (a)(1) of this section to the consumer and allow the consumer to opt out by mailing a form, calling a toll-free telephone number, or any other reasonable means within 30 days from the date you mailed the notices.
- (ii) **By electronic means.** A customer opens an online account with you and agrees to receive the notices required in paragraph (a)(1) of this section electronically, and you allow the customer to opt out by any reasonable means within 30 days after the date that the customer acknowledges receipt of the notices in conjunction with opening the account.
- (iii) **Isolated transaction with consumer.** For an isolated transaction, such as the purchase of a cashier's check by a consumer, you provide the consumer with a reasonable opportunity to opt out if you provide the notices required in paragraph (a)(1) of this section at the time of the transaction and request that the consumer decide, as a necessary part of the transaction, whether to opt out before completing the transaction.

(b) **Application of opt out to all consumers and all nonpublic personal information.**

- (1) You must comply with this section, regardless of whether you and the consumer have established a customer relationship.
- (2) Unless you comply with this section, you may not, directly or through any affiliate, disclose any nonpublic personal information about a consumer that you have collected, regardless of whether you collected it before or after receiving the direction to opt out from the consumer.

(c) **Partial opt out.** You may allow a consumer to select certain nonpublic personal information or certain nonaffiliated third parties with respect to which the consumer wishes to opt out.

§ 1016.11 Limits on redisclosure and reuse of information.

(a)

- (1) **Information you receive under an exception.** If you receive nonpublic personal information from a nonaffiliated financial institution under an exception in § 1016.14 or § 1016.15 of this part, your disclosure and use of that information is limited as follows:
- (i) You may disclose the information to the affiliates of the financial institution from which you received the information;
 - (ii) You may disclose the information to your affiliates, but your affiliates may, in turn, disclose and use the information only to the extent that you may disclose and use the information; and
 - (iii) You may disclose and use the information pursuant to an exception in § 1016.14 or § 1016.15 in the ordinary course of business to carry out the activity covered by the exception under which you received the information.
- (2) **Example.** If you receive a customer list from a nonaffiliated financial institution in order to provide account processing services under the exception in § 1016.14(a), you may disclose that information under any exception in § 1016.14 or § 1016.15 in the ordinary course of business in order to provide those services. For example, you could disclose the information in response to a properly authorized subpoena or, in the case of financial institutions other than those described in § 1016.3(l)(3), to your attorneys, accountants, and auditors. You could not disclose that information to a third party for marketing purposes or use that information for your own marketing purposes.

(b)

- (1) **Information you receive outside of an exception.** If you receive nonpublic personal information from a nonaffiliated financial institution other than under an exception in § 1016.14 or § 1016.15 of this part, you may disclose the information only:
- (i) To the affiliates of the financial institution from which you received the information;
 - (ii) To your affiliates, but your affiliates may, in turn, disclose the information only to the extent that you can disclose the information; and
 - (iii) To any other person, if the disclosure would be lawful if made directly to that person by the financial institution from which you received the information.
- (2) **Example.** If you obtain a customer list from a nonaffiliated financial institution outside of the exceptions in §§ 1016.14 and 1016.15:
- (i) You may use that list for your own purposes; and
 - (ii) You may disclose that list to another nonaffiliated third party only if the financial institution from which you purchased the list could have lawfully disclosed the list to that third party. That is, you may disclose the list in accordance with the privacy policy of the financial institution from which you received the list, as limited by the opt out direction of each consumer whose nonpublic personal information you intend to disclose, and you may disclose the list in accordance with an exception in § 1016.14 or § 1016.15, such as to your attorneys or accountants.

- (c) **Information you disclose under an exception.** If you disclose nonpublic personal information to a nonaffiliated third party under an exception in § 1016.14 or § 1016.15 of this part, the third party may disclose and use that information only as follows:

- (1) The third party may disclose the information to your affiliates;

- (2) The third party may disclose the information to its affiliates, but its affiliates may, in turn, disclose and use the information only to the extent that the third party may disclose and use the information; and
 - (3) The third party may disclose and use the information pursuant to an exception in § 1016.14 or § 1016.15 in the ordinary course of business to carry out the activity covered by the exception under which it received the information.
- (d) **Information you disclose outside of an exception.** If you disclose nonpublic personal information to a nonaffiliated third party other than under an exception in § 1016.14 or § 1016.15 of this part, the third party may disclose the information only:
- (1) To your affiliates;
 - (2) To its affiliates, but its affiliates, in turn, may disclose the information only to the extent the third party can disclose the information; and
 - (3) To any other person, if the disclosure would be lawful if you made it directly to that person.

§ 1016.12 Limits on sharing account number information for marketing purposes.

- (a) **General prohibition on disclosure of account numbers.** You must not, directly or through an affiliate, disclose, other than to a consumer reporting agency, an account number or similar form of access number or access code for a consumer's credit card account, deposit account, share account, or transaction account to any nonaffiliated third party for use in telemarketing, direct mail marketing, or other marketing through electronic mail to the consumer.
- (b) **Exceptions.** Paragraph (a) of this section does not apply if you disclose an account number or similar form of access number or access code:
- (1) To your agent or service provider solely in order to perform marketing for your own products or services, as long as the agent or service provider is not authorized to directly initiate charges to the account; or
 - (2) To a participant in a private label credit card program or an affinity or similar program where the participants in the program are identified to the customer when the customer enters into the program.
- (c) **Examples —**
- (1) **Account number.** An account number, or similar form of access number or access code, does not include a number or code in an encrypted form, as long as you do not provide the recipient with a means to decode the number or code.
 - (2) **Transaction account.** A transaction account is an account other than a deposit account, a share account, or a credit card account. A transaction account does not include an account to which third parties cannot initiate charges.

Subpart C—Exceptions

§ 1016.13 Exception to opt out requirements for service providers and joint marketing.

- (a) **General rule.**

- (1) The opt out requirements in §§ 1016.7 and 1016.10 of this part do not apply when you provide nonpublic personal information to a nonaffiliated third party to perform services for you or functions on your behalf, if you:
 - (i) Provide the initial notice in accordance with § 1016.4; and
 - (ii) Enter into a contractual agreement with the third party that prohibits the third party from disclosing or using the information other than to carry out the purposes for which you disclosed the information, including use under an exception in § 1016.14 or § 1016.15 in the ordinary course of business to carry out those purposes.
 - (2) **Example.** If you disclose nonpublic personal information under this section to a financial institution with which you perform joint marketing, your contractual agreement with that institution meets the requirements of paragraph (a)(1)(ii) of this section if it prohibits the institution from disclosing or using the nonpublic personal information except as necessary to carry out the joint marketing or under an exception in § 1016.14 or § 1016.15 in the ordinary course of business to carry out that joint marketing.
- (b) **Service may include joint marketing.** The services a nonaffiliated third party performs for you under paragraph (a) of this section may include marketing of your own products or services or marketing of financial products or services offered pursuant to joint agreements between you and one or more financial institutions.
- (c) **Definition of joint agreement.** For purposes of this section, joint agreement means a written contract pursuant to which you and one or more financial institutions jointly offer, endorse, or sponsor a financial product or service.

§ 1016.14 Exceptions to notice and opt out requirements for processing and servicing transactions.

- (a) **Exceptions for processing transactions at consumer's request.** The requirements for initial notice in § 1016.4(a)(2), for the opt out in §§ 1016.7 and 1016.10, and for service providers and joint marketing in § 1016.13 do not apply if you disclose nonpublic personal information as necessary to effect, administer, or enforce a transaction that a consumer requests or authorizes, or in connection with:
- (1) Servicing or processing a financial product or service that a consumer requests or authorizes;
 - (2) Maintaining or servicing the consumer's account with you, or with another entity as part of a private label credit card program or other extension of credit on behalf of such entity; or
 - (3) A proposed or actual securitization, secondary market sale (including sales of servicing rights), or similar transaction related to a transaction of the consumer.
- (b) **Necessary to effect, administer, or enforce a transaction** means that the disclosure is:
- (1) Required, or is one of the lawful or appropriate methods, to enforce your rights or the rights of other persons engaged in carrying out the financial transaction or providing the product or service; or
 - (2) Required, or is a usual, appropriate or acceptable method:
 - (i) To carry out the transaction or the product or service business of which the transaction is a part, and record, service, or maintain the consumer's account in the ordinary course of providing the financial service or financial product;

- (ii) To administer or service benefits or claims relating to the transaction or the product or service business of which it is a part;
- (iii) To provide a confirmation, statement, or other record of the transaction, or information on the status or value of the financial service or financial product to the consumer or the consumer's agent or broker;
- (iv) To accrue or recognize incentives or bonuses associated with the transaction that are provided by you or any other party;
- (v) To underwrite insurance at the consumer's request or for reinsurance purposes, or for any of the following purposes as they relate to a consumer's insurance: account administration, reporting, investigating, or preventing fraud or material misrepresentation, processing premium payments, processing insurance claims, administering insurance benefits (including utilization review activities), participating in research projects, or as otherwise required or specifically permitted by Federal or state law; or
- (vi) In connection with:
 - (A) The authorization, settlement, billing, processing, clearing, transferring, reconciling or collection of amounts charged, debited, or otherwise paid using a debit, credit, or other payment card, check, or account number, or by other payment means;
 - (B) The transfer of receivables, accounts, or interests therein; or
 - (C) The audit of debit, credit, or other payment information.

§ 1016.15 Other exceptions to notice and opt out requirements.

- (a) **Exceptions to opt out requirements.** The requirements for initial notice in § 1016.4(a)(2), for the opt out in §§ 1016.7 and 1016.10, and for service providers and joint marketing in § 1016.13 do not apply when you disclose nonpublic personal information:
 - (1) With the consent or at the direction of the consumer, provided that the consumer has not revoked the consent or direction;
 - (2)
 - (i) To protect the confidentiality or security of your records pertaining to the consumer, service, product, or transaction;
 - (ii) To protect against or prevent actual or potential fraud, unauthorized transactions, claims, or other liability;
 - (iii) For required institutional risk control or for resolving consumer disputes or inquiries;
 - (iv) To persons holding a legal or beneficial interest relating to the consumer; or
 - (v) To persons acting in a fiduciary or representative capacity on behalf of the consumer;
 - (3) To provide information to insurance rate advisory organizations, guaranty funds or agencies, agencies that are rating you, persons that are assessing your compliance with industry standards, and your attorneys, accountants, and auditors;

- (4) To the extent specifically permitted or required under other provisions of law and in accordance with the Right to Financial Privacy Act of 1978 (12 U.S.C. 3401 *et seq.*) to law enforcement agencies (including the Bureau, a Federal functional regulator, the Secretary of the Treasury, with respect to 31 U.S.C. Chapter 53, Subchapter II (Records and Reports on Monetary Instruments and Transactions) and 12 U.S.C. Chapter 21 (Financial Recordkeeping), a state insurance authority, with respect to any person domiciled in that insurance authority's state that is engaged in providing insurance, and the Federal Trade Commission), self-regulatory organizations, or for an investigation on a matter related to public safety;
- (5)
 - (i) To a consumer reporting agency in accordance with the Fair Credit Reporting Act (15 U.S.C. 1681 *et seq.*); or
 - (ii) From a consumer report reported by a consumer reporting agency;
- (6) In connection with a proposed or actual sale, merger, transfer, or exchange of all or a portion of a business or operating unit if the disclosure of nonpublic personal information concerns solely consumers of such business or unit; or
- (7)
 - (i) To comply with Federal, state, or local laws, rules and other applicable legal requirements;
 - (ii) To comply with a properly authorized civil, criminal, or regulatory investigation, or subpoena or summons by Federal, state, or local authorities; or
 - (iii) To respond to judicial process or government regulatory authorities having jurisdiction over you for examination, compliance, or other purposes as authorized by law.
- (b) *Examples of consent and revocation of consent.*
 - (1) A consumer may specifically consent to your disclosure to a nonaffiliated insurance company of the fact that the consumer has applied to you for a mortgage so that the insurance company can offer homeowner's insurance to the consumer.
 - (2) A consumer may revoke consent by subsequently exercising the right to opt out of future disclosures of nonpublic personal information as permitted under § 1016.7(h) of this part.

Subpart D—Relation to Other Laws

§ 1016.16 Protection of Fair Credit Reporting Act.

Nothing in this part shall be construed to modify, limit, or supersede the operation of the Fair Credit Reporting Act (15 U.S.C. 1681 *et seq.*), and no inference shall be drawn on the basis of the provisions of this part regarding whether information is transaction or experience information under section 603 of that Act.

§ 1016.17 Relation to state laws.

- (a) *In general.* This part shall not be construed as superseding, altering, or affecting any statute, regulation, order, or interpretation in effect in any state, except to the extent that such state statute, regulation, order, or interpretation is inconsistent with the provisions of this part, and then only to the extent of the inconsistency.

- (b) *Greater protection under state law.* For purposes of this section, a state statute, regulation, order, or interpretation is not inconsistent with the provisions of this part if the protection such statute, regulation, order, or interpretation affords any consumer is greater than the protection provided under this part, as determined by the Bureau, on its own motion or upon the petition of any interested party, after consultation with the agency or authority with jurisdiction under section 505(a) of the GLB Act (15 U.S.C. 6805(a)) over either the person that initiated the complaint or that is the subject of the complaint.

Appendix to Part 1016—Model Privacy Form

A. The Model Privacy Form

Version 1: Model Form With No Opt-Out.

Rev. [insert date]

FACTS

WHAT DOES [NAME OF FINANCIAL INSTITUTION] DO WITH YOUR PERSONAL INFORMATION?

Why?

Financial companies choose how they share your personal information. Federal law gives consumers the right to limit some but not all sharing. Federal law also requires us to tell you how we collect, share, and protect your personal information. Please read this notice carefully to understand what we do.

What?

The types of personal information we collect and share depend on the product or service you have with us. This information can include:

- Social Security number and [income]
- [account balances] and [payment history]
- [credit history] and [credit scores]

When you are *no longer* our customer, we continue to share your information as described in this notice.

How?

All financial companies need to share customers' personal information to run their everyday business. In the section below, we list the reasons financial companies can share their customers' personal information; the reasons [name of financial institution] chooses to share; and whether you can limit this sharing.

Reasons we can share your personal information	Does [name of financial institution] share?	Can you limit this sharing?
For our everyday business purposes—such as to process your transactions, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus		
For our marketing purposes—to offer our products and services to you		
For joint marketing with other financial companies		
For our affiliates' everyday business purposes—information about your transactions and experiences		
For our affiliates' everyday business purposes—information about your creditworthiness		
For our affiliates to market to you		
For nonaffiliates to market to you		

Questions?

Call [phone number] or go to [website]

Page 2

Who we are	
Who is providing this notice?	[insert]
What we do	
How does [name of financial institution] protect my personal information?	To protect your personal information from unauthorized access and use, we use security measures that comply with federal law. These measures include computer safeguards and secured files and buildings. [insert]
How does [name of financial institution] collect my personal information?	We collect your personal information, for example, when you ■ [open an account] or [deposit money] ■ [pay your bills] or [apply for a loan] ■ [use your credit or debit card] [We also collect your personal information from other companies.] OR [We also collect your personal information from others, such as credit bureaus, affiliates, or other companies.]
Why can't I limit all sharing?	Federal law gives you the right to limit only ■ sharing for affiliates' everyday business purposes—information about your creditworthiness ■ affiliates from using your information to market to you ■ sharing for nonaffiliates to market to you State laws and individual companies may give you additional rights to limit sharing. [See below for more on your rights under state law.]
Definitions	
Affiliates	Companies related by common ownership or control. They can be financial and nonfinancial companies. ■ [affiliate information]
Nonaffiliates	Companies not related by common ownership or control. They can be financial and nonfinancial companies. ■ [nonaffiliate information]
Joint marketing	A formal agreement between nonaffiliated financial companies that together market financial products or services to you. ■ [joint marketing information]
Other important information	
[insert other important information]	

Version 2: Model Form with Opt-Out by Telephone and/or Online.

Rev. [insert date]

FACTS	WHAT DOES [NAME OF FINANCIAL INSTITUTION] DO WITH YOUR PERSONAL INFORMATION?																									
Why?	Financial companies choose how they share your personal information. Federal law gives consumers the right to limit some but not all sharing. Federal law also requires us to tell you how we collect, share, and protect your personal information. Please read this notice carefully to understand what we do.																									
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<table border="1" style="width: 100%; border-collapse: collapse;"> <thead> <tr style="background-color: #333; color: white;"> <th style="text-align: left;">Reasons we can share your personal information</th><th style="text-align: center;">Does [name of financial institution] share?</th><th style="text-align: center;">Can you limit this sharing?</th></tr> </thead> <tbody> <tr> <td>For our everyday business purposes—such as to process your transactions, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus</td><td></td><td></td></tr> <tr> <td>For our marketing purposes—to offer our products and services to you</td><td></td><td></td></tr> <tr> <td>For joint marketing with other financial companies</td><td></td><td></td></tr> <tr> <td>For our affiliates' everyday business purposes—information about your transactions and experiences</td><td></td><td></td></tr> <tr> <td>For our affiliates' everyday business purposes—information about your creditworthiness</td><td></td><td></td></tr> <tr> <td>For our affiliates to market to you</td><td></td><td></td></tr> <tr> <td>For nonaffiliates to market to you</td><td></td><td></td></tr> </tbody> </table>			Reasons we can share your personal information	Does [name of financial institution] share?	Can you limit this sharing?	For our everyday business purposes—such as to process your transactions, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus			For our marketing purposes—to offer our products and services to you			For joint marketing with other financial companies			For our affiliates' everyday business purposes—information about your transactions and experiences			For our affiliates' everyday business purposes—information about your creditworthiness			For our affiliates to market to you			For nonaffiliates to market to you		
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For our affiliates' everyday business purposes—information about your creditworthiness																										
For our affiliates to market to you																										
For nonaffiliates to market to you																										
To limit our sharing	■ Call [phone number]—our menu will prompt you through your choice(s) or ■ Visit us online: [website] Please note: If you are a <i>new</i> customer, we can begin sharing your information [30] days from the date we sent this notice. When you are <i>no longer</i> our customer, we continue to share your information as described in this notice. However, you can contact us at any time to limit our sharing.																									
Questions?	Call [phone number] or go to [website]																									

Who we are

Who is providing this notice?

[insert]

What we do

How does [name of financial institution] protect my personal information?

To protect your personal information from unauthorized access and use, we use security measures that comply with federal law. These measures include computer safeguards and secured files and buildings.

[insert]

How does [name of financial institution] collect my personal information?

We collect your personal information, for example, when you

- [open an account] or [deposit money]
- [pay your bills] or [apply for a loan]
- [use your credit or debit card]

[We also collect your personal information from other companies.]

OR

[We also collect your personal information from others, such as credit bureaus, affiliates, or other companies.]

Why can't I limit all sharing?

Federal law gives you the right to limit only

- sharing for affiliates' everyday business purposes—information about your creditworthiness
- affiliates from using your information to market to you
- sharing for nonaffiliates to market to you

State laws and individual companies may give you additional rights to limit sharing. [See below for more on your rights under state law.]

What happens when I limit sharing for an account I hold jointly with someone else?

[Your choices will apply to everyone on your account.]

OR

[Your choices will apply to everyone on your account—unless you tell us otherwise.]

Definitions

Affiliates

Companies related by common ownership or control. They can be financial and nonfinancial companies.

- [affiliate information]

Nonaffiliates

Companies not related by common ownership or control. They can be financial and nonfinancial companies.

- [nonaffiliate information]

Joint marketing

A formal agreement between nonaffiliated financial companies that together market financial products or services to you.

- [joint marketing information]

Other important information

[insert other important information]

Version 3: Model Form with Mail-In Opt-Out Form.

Rev. [insert date]

FACTS

WHAT DOES [NAME OF FINANCIAL INSTITUTION] DO WITH YOUR PERSONAL INFORMATION?

Why?

Financial companies choose how they share your personal information. Federal law gives consumers the right to limit some but not all sharing. Federal law also requires us to tell you how we collect, share, and protect your personal information. Please read this notice carefully to understand what we do.

What?

The types of personal information we collect and share depend on the product or service you have with us. This information can include:

- Social Security number and [income]
- [account balances] and [payment history]
- [credit history] and [credit scores]

How?

All financial companies need to share customers' personal information to run their everyday business. In the section below, we list the reasons financial companies can share their customers' personal information; the reasons [name of financial institution] chooses to share; and whether you can limit this sharing.

Reasons we can share your personal information	Does [name of financial institution] share?	Can you limit this sharing?
For our everyday business purposes—such as to process your transactions, maintain your account(s), respond to court orders and legal investigations, or report to credit bureaus		
For our marketing purposes—to offer our products and services to you		
For joint marketing with other financial companies		
For our affiliates' everyday business purposes—information about your transactions and experiences		
For our affiliates' everyday business purposes—information about your creditworthiness		
For our affiliates to market to you		
For nonaffiliates to market to you		

To limit our sharing

- Call [phone number]—our menu will prompt you through your choice(s)
- Visit us online: [website] or
- Mail the form below

Please note:

If you are a *new* customer, we can begin sharing your information [30] days from the date we sent this notice. When you are *no longer* our customer, we continue to share your information as described in this notice.

However, you can contact us at any time to limit our sharing.

Questions?

Call [phone number] or go to [website]

Mail-in Form

Leave Blank OR

[If you have a joint account, your choice(s) will apply to everyone on your account unless you mark below.]

☐ Apply my

Mark any/all you want to limit:

- ☐ Do not share information about my creditworthiness with your affiliates for their everyday business purposes.
- ☐ Do not allow your affiliates to use my personal information to market to me.
- ☐ Do not share my personal information with nonaffiliates to market their products and services to me.

Name

Address

Mail to:

[Name of Financial

Who we are	
Who is providing this notice?	[insert]
What we do	
How does [name of financial institution] protect my personal information?	To protect your personal information from unauthorized access and use, we use security measures that comply with federal law. These measures include computer safeguards and secured files and buildings. [insert]
How does [name of financial institution] collect my personal information?	We collect your personal information, for example, when you ■ [open an account] or [deposit money] ■ [pay your bills] or [apply for a loan] ■ [use your credit or debit card] [We also collect your personal information from other companies.] OR [We also collect your personal information from others, such as credit bureaus, affiliates, or other companies.]
Why can't I limit all sharing?	Federal law gives you the right to limit only ■ sharing for affiliates' everyday business purposes—information about your creditworthiness ■ affiliates from using your information to market to you ■ sharing for nonaffiliates to market to you State laws and individual companies may give you additional rights to limit sharing. [See below for more on your rights under state law.]
What happens when I limit sharing for an account I hold jointly with someone else?	[Your choices will apply to everyone on your account.] OR [Your choices will apply to everyone on your account—unless you tell us otherwise.]
Definitions	
Affiliates	Companies related by common ownership or control. They can be financial and nonfinancial companies. ■ [affiliate information]
Nonaffiliates	Companies not related by common ownership or control. They can be financial and nonfinancial companies. ■ [nonaffiliate information]
Joint marketing	A formal agreement between nonaffiliated financial companies that together market financial products or services to you. ■ [joint marketing information]
Other important information	
[insert other important information]	

Version 4. Optional Mail-in Form.

✍

Mail-in Form	
Leave Blank OR [If you have a joint account, your choice(s) will apply to everyone on your account unless you mark below. ☐ Apply my choices only to me]	Mark any/all you want to limit: ☐ Do not share information about my creditworthiness with your affiliates for their everyday business purposes. ☐ Do not allow your affiliates to use my personal information to market to me. ☐ Do not share my personal information with nonaffiliates to market their products and services to me.
	Name
	Address
	City, State, Zip
	[Account #]
Mail To: [Name of Financial Institution], [Address1] [Address2], [City], [ST] [ZIP]	

B. General Instructions

1. How the Model Privacy Form Is Used

- (a) The model form may be used, at the option of a financial institution, including a group of financial institutions that use a common privacy notice, to meet the content requirements of the privacy notice and opt-out notice set forth in §§ 1016.6 and 1016.7 of this part.
- (b) The model form is a standardized form, including page layout, content, format, style, pagination, and shading. Institutions seeking to obtain the safe harbor through use of the model form may modify it only as described in these Instructions.
- (c) Note that disclosure of certain information, such as assets, income, and information from a consumer reporting agency, may give rise to obligations under the Fair Credit Reporting Act [15 U.S.C. 1681-1681x] (FCRA), such as a requirement to permit a consumer to opt out of disclosures to affiliates or designation as a consumer reporting agency if disclosures are made to nonaffiliated third parties.
- (d) The word “customer” may be replaced by the word “member” whenever it appears in the model form, as appropriate.

2. The Contents of the Model Privacy Form

The model form consists of two pages, which may be printed on both sides of a single sheet of paper, or may appear on two separate pages. Where an institution provides a long list of institutions at the end of the model form in accordance with Instruction C.3(a)(1), or provides additional

information in accordance with Instruction C.3(c), and such list or additional information exceeds the space available on page two of the model form, such list or additional information may extend to a third page.

(a) **Page One.** The first page consists of the following components:

- (1) Date last revised (upper right-hand corner).
- (2) Title.
- (3) Key frame (Why?, What?, How?).
- (4) Disclosure table ("Reasons we can share your personal information").
- (5) "*To limit our sharing*" box, as needed, for the financial institution's opt-out information.
- (6) "*Questions*" box, for customer service contact information.
- (7) Mail-in opt-out form, as needed.

(b) **Page Two.** The second page consists of the following components:

- (1) Heading (Page 2).
- (2) Frequently Asked Questions ("Who we are" and "What we do").
- (3) Definitions.
- (4) "*Other important information*" box, as needed.

3. The Format of the Model Privacy Form

The format of the model form may be modified only as described below.

- (a) **Easily readable type font.** Financial institutions that use the model form must use an easily readable type font. While a number of factors together produce easily readable type font, institutions are required to use a minimum of 10-point font (unless otherwise expressly permitted in these Instructions) and sufficient spacing between the lines of type.
- (b) **Logo.** A financial institution may include a corporate logo on any page of the notice, so long as it does not interfere with the readability of the model form or the space constraints of each page.
- (c) **Page size and orientation.** Each page of the model form must be printed on paper in portrait orientation, the size of which must be sufficient to meet the layout and minimum font size requirements, with sufficient white space on the top, bottom, and sides of the content.
- (d) **Color.** The model form must be printed on white or light color paper (such as cream) with black or other contrasting ink color. Spot color may be used to achieve visual interest, so long as the color contrast is distinctive and the color does not detract from the readability of the model form. Logos may also be printed in color.
- (e) **Languages.** The model form may be translated into languages other than English.

C. Information Required in the Model Privacy Form

The information in the model form may be modified only as described below:

1. Name of the Institution or Group of Affiliated Institutions Providing the Notice

Insert the name of the financial institution providing the notice or a common identity of affiliated institutions jointly providing the notice on the form wherever [name of financial institution] appears.

2. Page One

- (a) ***Last revised date.*** The financial institution must insert in the upper right-hand corner the date on which the notice was last revised. The information shall appear in minimum 8-point font as “rev. [month/year]” using either the name or number of the month, such as “rev. July 2009” or “rev. 7/09”.
- (b) ***General instructions for the “What?” box.***
 - (1) The bulleted list identifies the types of personal information that the institution collects and shares. All institutions must use the term “Social Security number” in the first bullet.
 - (2) Institutions must use five (5) of the following terms to complete the bulleted list: Income; account balances; payment history; transaction history; transaction or loss history; credit history; credit scores; assets; investment experience; credit-based insurance scores; insurance claim history; medical information; overdraft history; purchase history; account transactions; risk tolerance; medical-related debts; credit card or other debt; mortgage rates and payments; retirement assets; checking account information; employment information; wire transfer instructions.
- (c) ***General instructions for the disclosure table.*** The left column lists reasons for sharing or using personal information. Each reason correlates to a specific legal provision described in paragraph C.2(d) of this Instruction. In the middle column, each institution must provide a “Yes” or “No” response that accurately reflects its information sharing policies and practices with respect to the reason listed on the left. In the right column, each institution must provide in each box one of the following three (3) responses, as applicable, that reflects whether a consumer can limit such sharing: “Yes” if it is required to or voluntarily provides an opt-out; “No” if it does not provide an opt-out; or “We don’t share” if it answers “No” in the middle column. Only the sixth row (“For our affiliates to market to you”) may be omitted at the option of the institution. See paragraph C.2(d)(6) of this Instruction.
- (d) ***Specific disclosures and corresponding legal provisions.***
 - (1) ***For our everyday business purposes.*** This reason incorporates sharing information under §§ 1016.14 and 1016.15 and with service providers pursuant to § 1016.13 of this part other than the purposes specified in paragraphs C.2(d)(2) or C.2(d)(3) of these Instructions.
 - (2) ***For our marketing purposes.*** This reason incorporates sharing information with service providers by an institution for its own marketing pursuant to § 1016.13 of this part. An institution that shares for this reason may choose to provide an opt-out.

- (3) ***For joint marketing with other financial companies.*** This reason incorporates sharing information under joint marketing agreements between two or more financial institutions and with any service provider used in connection with such agreements pursuant to § 1016.13 of this part. An institution that shares for this reason may choose to provide an opt-out.
 - (4) ***For our affiliates' everyday business purposes—information about transactions and experiences.*** This reason incorporates sharing information specified in sections 603(d)(2)(A)(i) and (ii) of the FCRA. An institution that shares for this reason may choose to provide an opt-out.
 - (5) ***For our affiliates' everyday business purposes—information about creditworthiness.*** This reason incorporates sharing information pursuant to section 603(d)(2)(A)(iii) of the FCRA. An institution that shares for this reason must provide an opt-out.
 - (6) ***For our affiliates to market to you.*** This reason incorporates sharing information specified in section 624 of the FCRA. This reason may be omitted from the disclosure table when: the institution does not have affiliates (or does not disclose personal information to its affiliates); the institution's affiliates do not use personal information in a manner that requires an opt-out; or the institution provides the affiliate marketing notice separately. Institutions that include this reason must provide an opt-out of indefinite duration. An institution that is required to provide an affiliate marketing opt-out, but does not include that opt-out in the model form under this part, must comply with section 624 of the FCRA and 12 CFR part 1022, subpart C, with respect to the initial notice and opt-out and any subsequent renewal notice and opt-out. An institution not required to provide an opt-out under this subparagraph may elect to include this reason in the model form.
 - (7) ***For nonaffiliates to market to you.*** This reason incorporates sharing described in §§ 1016.7 and 1016.10(a) of this part. An institution that shares personal information for this reason must provide an opt-out.
- (e) ***To limit our sharing:*** A financial institution must include this section of the model form *only* if it provides an opt-out. The word “choice” may be written in either the singular or plural, as appropriate. Institutions must select one or more of the applicable opt-out methods described: Telephone, such as by a toll-free number; a Web site; or use of a mail-in opt-out form. Institutions may include the words “toll-free” before telephone, as appropriate. An institution that allows consumers to opt out online must provide either a specific Web address that takes consumers directly to the opt-out page or a general Web address that provides a clear and conspicuous direct link to the opt-out page. The opt-out choices made available to the consumer who contacts the institution through these methods must correspond accurately to the “Yes” responses in the third column of the disclosure table. In the part titled “Please note,” institutions may insert a number that is 30 or greater in the space marked “[30].” Instructions on voluntary or state privacy law opt-out information are in paragraph C.2(g)(5) of these Instructions.
- (f) ***Questions box.*** Customer service contact information must be inserted as appropriate, where [phone number] or [Web site] appear. Institutions may elect to provide either a phone number, such as a toll-free number, or a web address, or both. Institutions may include the words “toll-free” before the telephone number, as appropriate.

- (g) **Mail-in opt-out form.** Financial institutions must include this mail-in form *only* if they state in the “To limit our sharing” box that consumers can opt out by mail. The mail-in form must provide opt-out options that correspond accurately to the “Yes” responses in the third column in the disclosure table. Institutions that require customers to provide only name and address may omit the section identified as “[account #].” Institutions that require additional or different information, such as a random opt-out number or a truncated account number, to implement an opt-out election should modify the “[account #]” reference accordingly. This includes institutions that require customers with multiple accounts to identify each account to which the opt-out should apply. An institution must enter its opt-out mailing address: in the far right of this form (see version 3); or below the form (see version 4). The reverse side of the mail-in opt-out form must not include any content of the model form.
- (1) **Joint accountholder.** Only institutions that provide their joint accountholders the choice to opt out for only one accountholder, in accordance with paragraph C.3(a)(5) of these Instructions, must include in the far left column of the mail-in form the following statement: “If you have a joint account, your choice(s) will apply to everyone on your account unless you mark below. Apply my choice(s) only to me.” The word “choice” may be written in either the singular or plural, as appropriate. Financial institutions that provide insurance products or services, provide this option, and elect to use the model form may substitute the word “policy” for “account” in this statement. Institutions that do not provide this option may eliminate this left column from the mail-in form.
- (2) **FCRA section 603(d)(2)(A)(iii) opt-out.** If the institution shares personal information pursuant to section 603(d)(2)(A)(iii) of the FCRA, it must include in the mail-in opt-out form the following statement: “ Do not share information about my creditworthiness with your affiliates for their everyday business purposes.”
- (3) **FCRA section 624 opt-out.** If the institution incorporates section 624 of the FCRA in accord with paragraph C.2(d)(6) of these Instructions, it must include in the mail-in opt-out form the following statement: “ Do not allow your affiliates to use my personal information to market to me.”
- (4) **Nonaffiliate opt-out.** If the financial institution shares personal information pursuant to § 1016.10(a) of this part, it must include in the mail-in opt-out form the following statement: “ Do not share my personal information with nonaffiliates to market their products and services to me.”
- (5) **Additional opt-outs.** Financial institutions that use the disclosure table to provide opt-out options beyond those required by Federal law must provide those opt-outs in this section of the model form. A financial institution that chooses to offer an opt-out for its own marketing in the mail-in opt-out form must include one of the two following statements: “ Do not share my personal information to market to me.” or “ Do not use my personal information to market to me.” A financial institution that chooses to offer an opt-out for joint marketing must include the following statement: “ Do not share my personal information with other financial institutions to jointly market to me.”
- (h) **Barcodes.** A financial institution may elect to include a barcode and/or “tagline” (an internal identifier) in 6-point font at the bottom of page one, as needed for information internal to the institution, so long as these do not interfere with the clarity or text of the form.

3. Page Two

(a) **General Instructions for the Questions.** Certain of the Questions may be customized as follows:

- (1) ***"Who is providing this notice?"*** This question may be omitted where only one financial institution provides the model form and that institution is clearly identified in the title on page one. Two or more financial institutions that jointly provide the model form must use this question to identify themselves as required by § 1016.9(f) of this part. Where the list of institutions exceeds four (4) lines, the institution must describe in the response to this question the general types of institutions jointly providing the notice and must separately identify those institutions, in minimum 8-point font, directly following the "Other important information" box, or, if that box is not included in the institution's form, directly following the "Definitions." The list may appear in a multi-column format.
- (2) ***"How does [name of financial institution] protect my personal information?"*** The financial institution may only provide additional information pertaining to its safeguards practices following the designated response to this question. Such information may include information about the institution's use of cookies or other measures it uses to safeguard personal information. Institutions are limited to a maximum of 30 additional words.
- (3) ***"How does [name of financial institution] collect my personal information?"*** Institutions must use five (5) of the following terms to complete the bulleted list for this question: Open an account; deposit money; pay your bills; apply for a loan; use your credit or debit card; seek financial or tax advice; apply for insurance; pay insurance premiums; file an insurance claim; seek advice about your investments; buy securities from us; sell securities to us; direct us to buy securities; direct us to sell your securities; make deposits or withdrawals from your account; enter into an investment advisory contract; give us your income information; provide employment information; give us your employment history; tell us about your investment or retirement portfolio; tell us about your investment or retirement earnings; apply for financing; apply for a lease; provide account information; give us your contact information; pay us by check; give us your wage statements; provide your mortgage information; make a wire transfer; tell us who receives the money; tell us where to send the money; show your government-issued ID; show your driver's license; order a commodity futures or option trade. Institutions that collect personal information from their affiliates and/or credit bureaus must include after the bulleted list the following statement: "We also collect your personal information from others, such as credit bureaus, affiliates, or other companies." Institutions that do not collect personal information from their affiliates or credit bureaus but do collect information from other companies must include the following statement instead: "We also collect your personal information from other companies." Only institutions that do not collect any personal information from affiliates, credit bureaus, or other companies can omit both statements.
- (4) ***"Why can't I limit all sharing?"*** Institutions that describe state privacy law provisions in the "Other important information" box must use the bracketed sentence: "See below for more on your rights under state law." Other institutions must omit this sentence.
- (5) ***"What happens when I limit sharing for an account I hold jointly with someone else?"*** Only financial institutions that provide opt-out options must use this question. Other institutions must omit this question. Institutions must choose one of the following two statements to respond to this question: "Your choices will apply to everyone on your

account.” or “Your choices will apply to everyone on your account—unless you tell us otherwise.” Financial institutions that provide insurance products or services and elect to use the model form may substitute the word “policy” for “account” in these statements.

- (b) **General Instructions for the Definitions.** The financial institution must customize the space below the responses to the three definitions in this section. This specific information must be in italicized lettering to set off the information from the standardized definitions.

- (1) **Affiliates.** As required by § 1016.6(a)(3) of this part, where [affiliate information] appears, the financial institution must:

- (i) If it has no affiliates, state: “[name of financial institution] has no affiliates”;
- (ii) If it has affiliates but does not share personal information, state: “[name of financial institution] does not share with our affiliates”; or
- (iii) If it shares with its affiliates, state, as applicable: “Our affiliates include companies with a [common corporate identity of financial institution] name; financial companies such as [insert illustrative list of companies]; nonfinancial companies, such as [insert illustrative list of companies]; and others, such as [insert illustrative list].”

- (2) **Nonaffiliates.** As required by § 1016.6(c)(3) of this part, where [nonaffiliate information] appears, the financial institution must:

- (i) If it does not share with nonaffiliated third parties, state: “[name of financial institution] does not share with nonaffiliates so they can market to you”; or
- (ii) If it shares with nonaffiliated third parties, state, as applicable: “Nonaffiliates we share with can include [list categories of companies such as mortgage companies, insurance companies, direct marketing companies, and nonprofit organizations].”

- (3) **Joint Marketing.** As required by § 1016.13 of this part, where [joint marketing] appears, the financial institution must:

- (i) If it does not engage in joint marketing, state: “[name of financial institution] doesn’t jointly market”; or
- (ii) If it shares personal information for joint marketing, state, as applicable: “Our joint marketing partners include [list categories of companies such as credit card companies].”

- (c) **General instructions for the “Other important information box.”** This box is optional. The space provided for information in this box is not limited. Only the following types of information can appear in this box.

- (1) State and/or international privacy law information; and/or
- (2) Acknowledgment of receipt form.